

Module 14: Errata

Chapter 13 Overview of China tax system

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6.5.1 Monthly standard deduction

China's IIT system provides a monthly standard deduction to reduce taxable income before applying progressive tax rates. This deduction helps lower the tax burden for both PRC and non-PRC tax residents.

Standard deduction for PRC tax residents

Monthly standard deduction for all PRC tax residents is **RMB5,000 (equivalent to RMB60,000 annually)**.

This applies equally to PRC-domiciled individuals and foreign individuals who qualify as PRC tax residents (i.e., those who stay in China for 183 days or more within a calendar year).

Standard deduction is automatically applied before computing taxable income, thereby reducing the total IIT liability.

Non-PRC tax residents

Individuals who stay in China for less than 183 days in a calendar year are considered non-residents.

Non-residents are taxed on China-sourced income on a per-payment basis rather than on an annual consolidated basis. A standard deduction of RMB5,000 per month applies. However, the standard deduction is calculated separately for each payment period.

For example, where an individual works in China for five months from 1 July to November and is therefore treated as a non-resident. A standard deduction of RMB5,000 may be applied to each month's taxable income during that period (i.e. up to RMB25,000 in total), subject to the deduction being applied on a monthly/per-payment basis rather than as an annual allowance.

Non-residents are generally not eligible for special additional deductions available to PRC tax residents set out in Section 6.5.2.

6.5.4 Comprehensive Income (Employment Income, Services, Manuscripts, Royalties)

For PRC residents, tax rates are applied to an individual's cumulative annual taxable income. Employers withhold monthly IIT based on an estimated annual salary under the Quick Calculation Deduction method.

Note: non-PRC tax residents are not subject to this annual cumulative tax table. Instead, they are taxed on a per-payment (typically monthly) basis using a separate monthly tax rate schedule, and no annual reconciliation is required.

For PRC residents			For Non-PRC residents		
Annual Taxable Income (RMB)	Tax Rate (%)	Quick Calculation Deduction (RMB)	Monthly Taxable Income (RMB)	Tax Rate (%)	Quick Calculation Deduction (RMB) – Monthly
0 – 36,000	3%	-	0 – 3,000	3%	–
36,001 – 144,000	10%	2,520	3,001 – 12,000	10%	210
144,001 – 300,000	20%	16,920	12,001 – 25,000	20%	1,410
300,001 – 420,000	25%	31,920	25,001 – 35,000	25%	2,660
420,001 – 660,000	30%	52,920	35,001 – 55,000	30%	4,410
660,001 – 960,000	35%	85,920	55,001 – 80,000	35%	7,160
Above 960,000	45%	181,920	Above 80,000	45%	15,160

Progressive tax structure ensures higher income individuals pay a greater percentage of their earnings in IIT.



Example: IIT implication 1

Mr. Tam is a Taiwanese resident habitually living and staying there. Recently, he has been recruited by a Taiwan limited company as the regional controller monitoring the company's sales business in the Greater China region.

According to the terms of employment, Mr. Tam will be based and remunerated in Taiwan, but incidentally he is required to travel to China to discharge some of his duties.

Mr. Tam has a particular concern about his possible exposure to China IIT with respect to his new employment. He estimated that he will spend approximately 90 days per annum working in China. His annual salary is equivalent to RMB300,000 per annum.

In this regard, he has engaged Kwan & Co., a tax consultancy firm established in Hong Kong, to evaluate his China IIT exposure. It is further noted that Taiwan has not entered into any tax treaty with China at the present time. Assume total working days in a year (excluding weekends and public holidays) are 250 days.

Required

Discuss the possible China IIT implications with respect to Mr Tam's employment.



Solution

Mr. Tam's taxable income

Under the PRC Individual Income Tax Law, an individual who stays in China for less than 183 days in a calendar year is treated as a non-PRC tax resident. A non-resident is subject to PRC IIT only on China-sourced income, i.e. income derived from employment services performed within China.

Since Mr Tam expects to spend 90 days per annum in China, he will be classified as a non-resident taxpayer.

China-sourced income = Annual salary $\times$ Days worked in China $\div$ Total working days in the year

Assuming 250 working days in a year: China-sourced income = RMB300,000 $\times$ 90 $\div$ 250 = RMB108,000

Non-PRC tax residents are taxed on a per-payment (monthly or per occurrence) basis. A standard deduction of RMB5,000 per month applies and is calculated separately for each month.

Assuming Mr Tam's 90 working days in China are spread evenly across 3 months:

- Monthly income = RMB108,000 $\div$ 3 months = RMB36,000
- Monthly taxable income = RMB36,000 – RMB5,000 = RMB31,000

China IIT on wages and salaries is levied using a progressive tax rate schedules with quick deduction amounts on a monthly basis. RMB31,000 falls into the fourth bracket (RMB25,000 to RMB35,000, taxed at 25% with a quick deduction of RMB2,660).

Monthly IIT payable = (RMB31,000 $\times$ 25%) – RMB2,660 = RMB5,090

Total IIT payable = RMB5,090 $\times$ 3 months = RMB15,270

Compliance and reporting considerations

- As Mr. Tam's employer is a Taiwan company with no permanent establishment (PE) in China, it has no PRC IIT withholding obligation.
- Therefore, Mr. Tam must register with the local PRC tax bureau and file a self-declaration for his China-sourced income within the prescribed period after each trip or at year-end.
- He should maintain detailed travel records, contracts, and work schedules to substantiate the number of China workdays.
- Since Taiwan does not have a tax treaty with China, Mr Tam cannot rely on treaty relief (such as exemption or foreign tax credits). He must also consider how PRC IIT paid interacts with Taiwan domestic tax rules.

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Non-PRC Resident Income Tax (IIT)

Stay in China < 183 days

- Standard deductions **are** available on per-payment (typically monthly) basis.
- Special addition deductions **are not** available